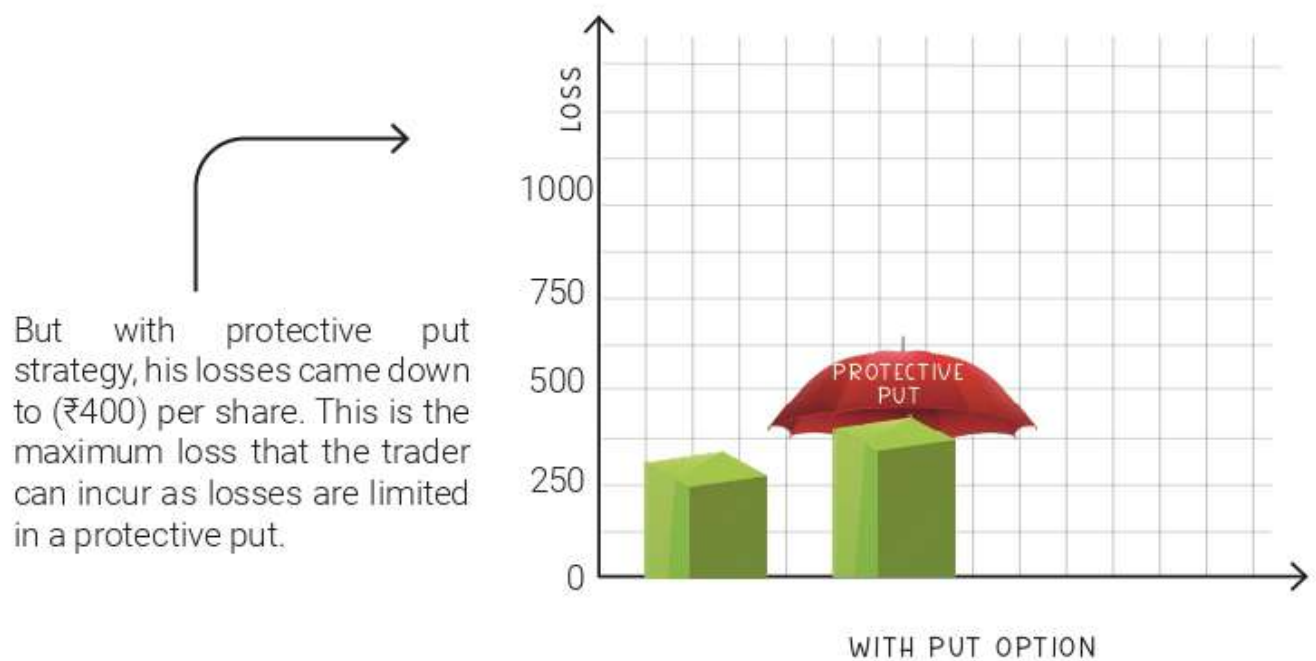
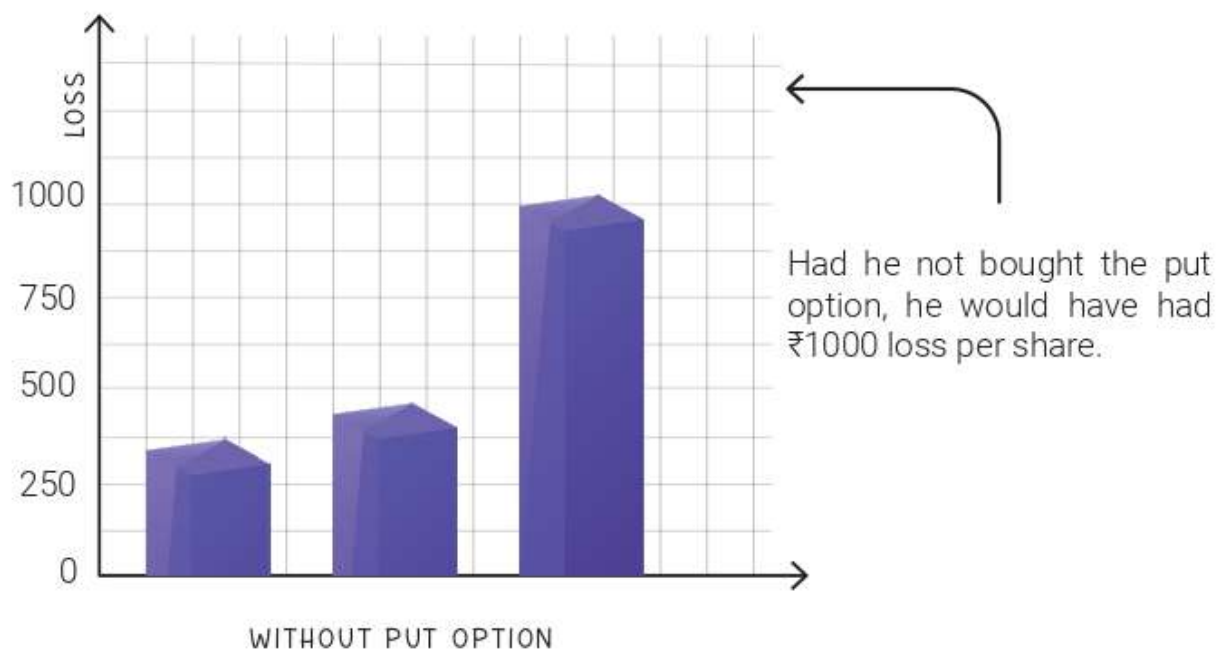




But with protective put strategy, his losses came down to (₹400) per share. This is the maximum loss that the trader can incur as losses are limited in a protective put.

A protective put strategy might look very appealing in the sense that you will always be protected. However, this strategy is **very costly** and therefore, it can be looked at as **a temporary hedge** only. The monthly cost of this strategy can lower the overall profits significantly. Having a put option at all times for your position will make the position loss-making rather profitable.